

Case 4: ABC Conglomerate

Bain, 1st Round

About This Case

This was a first-round Bain case. It is fairly straightforward in the analysis, but the difficulty lies in keeping the information straight between the three divisions. Give out the information freely, but make the candidate ask for each piece of information for each company. In order to crack this case, they will need to have neat and orderly notes and be able to quickly form a mental picture of each of these different divisions.

Note that this case is also difficult because there is no information about the products or industries. This is not important to the case, so don't make anything up – just tell the candidate that they should focus on the information they have.

The Problem

The CEO of a major conglomerate is dealing with poor profitability in each of his three divisions: A, B, and C. What should he do to maximize value for his shareholders?

Information Gathering

Read this information well before you give the case. The same information is available for each of the divisions, but make the candidate ask for each division's information separately rather than summarizing the data for them. Do not offer any information without being asked specifically and concisely for it.

Division A

Competition – The firm is the clear market leader with 60% share.

Cost Structure – Manufacturing is done in Asia by all firms and is largely considered to be as low-cost as possible.

Revenues – This division generates over 60% of the firm's revenues but gross margins have been declining in recent years. The high fixed costs maintained by this division have moved net income into the red as gross margins have declined.

Pricing – Prices have been becoming increasingly competitive. Division A has had to price aggressively to maintain sales volume, even with its strong market leadership position.

Market Trends – The overall market for division A's product has been shrinking in the last few years and looks like it may continue to do so.

Customer Preferences – Customers are moving to an entirely new product category as a substitute, and prefer the product category of Division A less and less.

Threat of Substitutes – A new product category is filling the customer need previously served by Division A's product. Division A is not well positioned to enter this new category.

Division B

Competition – The firm has only 5% and is one of many players in the market.

Cost Structure – This market is relatively new and it is believed that costs can be reduced significantly from their current position.

Revenues – Revenues have been low but growing. The division is running a negative net cash flow as it is currently investing in marketing, R&D, and plant capacity.

Pricing – A wide range of prices exist in the market currently with margins generally high.

Market Trends – The overall market is growing at 10% a year and is expected to experience significant growth in the near future.

Customer Preferences – This is a relatively new product category and consumers are not yet sure what they want or like.

Division C

Competition – The firm has 50% share with only one other major competitor and a few minor ones.

Cost Structure – The firm has significant economies of scale and has the lowest variable cost in the market. Significant expenditures are being made in marketing, R&D, and plant capacity in an attempt to grow revenues.

Revenues – Revenues have been strong with good operating margins, but have been flat for the past few years.

Pricing – Division C has a price leadership position in the market.

Market Trends – The overall market is not growing and expected to remain flat for the foreseeable future.

Conclusion

A star candidate will see that his/her time is nearly up and will present a recommendation for the client without prompting. If the interview is within 3 minutes of the end, ask:

“The CEO just called and wants to know what he should do.”

Good Answer: Clearly the conglomerate needs to rationalize its company portfolio to maximize shareholder return. Each of the three divisions is in a different stage of the market lifecycle and needs to be treated accordingly.

Division A finds itself in a declining industry with no apparent way to move into a new product category. As the incumbent firms struggle to maintain volume in a shrinking market, prices have fallen along with volume. Operating income is no longer enough to cover a high fixed cost base and the company is bleeding with little chance to recover. Division A should be divested immediately.

Division B is in an emerging growth market. While it is not making money today, it is in a favorable industry and represents a strong investment opportunity. The division should invest aggressively in R&D, marketing, and production capacity in an attempt to become the market leader by developing differentiated, branded products.

Division C is the leader in a mature industry and has the ability to generate a steady stream of cash for use in other investments – namely Division B. Division C should streamline operations by eliminating all expenditures not directly needed to maintain profitability and should be managed as a cash cow.